DOC_ID: ORV-0047
EVENT_ID: E5
TITLE: Orvan wheat: the sea loss is real, the substitutes are small
SOURCE_NAME: Tide Research
SOURCE_TYPE: analyst_note
RELIABILITY: 3
PUB_DATE: 2026-10-22
PUB_TIME: 08:20
COUNTRY: Orvan
SECTOR: Wheat
LANGUAGE: en

Orvan wheat: the sea loss is real, the substitutes are small

[P1] View. We think the market is still underestimating the duration of the Orvan sea disruption.

[P2] The corridor agreement ended on 10 September and the port strike began on 14 September. The September port index of 40 is the best early guide.

[P3] On our numbers, the four main sea routes could lose half to three-fifths of their value in the fourth quarter.

[P4] The offsets are real but limited. Rail through Ravik may add about 54% in volume on a base of USD 25M a month.

[P5] Vanir wheat sales to Tolan and Midgard may rise by between a seventh and a fifth in volume, again from a small base. The Asgard wheat contract is protected and may lose less than a tenth.

[P6] The view rests on three observations. First, the sea route is the cheapest way to move Orvan grain in bulk, so a lasting loss of sea capacity cannot be fully offset by rail or by smaller suppliers. Second, the substitutes are priced at a premium, which supports the price effect even as volumes fall. Third, the protected contract covers only one destination, so it does not change the picture for the open-market routes. We would raise our estimate if the port index stays near its December level into the new year, and lower it if berth use recovers faster than we expect.

[P7] The note is deliberately short on price targets. It says the value loss is easier to estimate than the price path, because the port index gives a volume anchor while prices depend on how long the disruption lasts. It expects the price effect to fade before volumes recover, and it will review the view when the port returns to fuller working.

[P8] Forecast. We expect the sea index to stay near 30 to 40 through December and to recover only slowly.